STRATEGIC

Warrant terms

Shares: 150,000. Exercise price: $2.10.

Exercise and Adjustment Provisions

warrant strategic states the covered security, exercise price, expiration, exercise notice, payment alternatives, certificate delivery, and treatment in a change of control.

Share splits, combinations, recapitalizations, and similar events adjust the covered shares and exercise price without creating an additional economic right.

The holder's transfer, notice, governing-law, and amendment rights are administered under the signed warrant and its attached exercise form.

Item 1. The Grant and the Supply Agreement It Supports

Helioscope Robotics, Inc. has granted this Warrant to Kadence Industrial Holdings, Inc. in connection with the multi-site supply agreement under which that company deploys the Company's robotic cells across its own distribution network. The Warrant was granted to align the Holder's incentive to deploy at scale with the Company's interest in a reference installed base, and its tranches vest only against deployment actually achieved.

The Warrant is consideration for performance and not for money. The Holder paid nothing for the grant itself, and pays only the Exercise Price on an exercise of a vested tranche. Because nothing was paid for the grant, the Company took the position that no tranche should become exercisable unless the performance for which it was granted has been delivered and certified.

The supply agreement governs the commercial relationship, the specification of the cells, their pricing and their acceptance. This Warrant governs only the Holder's right to purchase shares. A dispute under the supply agreement does not suspend this Warrant, and a dispute under this Warrant does not entitle either party to withhold performance under the supply agreement, except as Item 8 provides on termination.

Item 2. The Shares Covered, the Tranches, and What Vesting Means Here

The Warrant covers the aggregate number of shares of the Company's common stock stated on its face, divided into the tranches identified in the performance particulars attached to it. Each tranche covers the portion of the aggregate that those particulars allocate to it, and each tranche has its own performance condition and its own measurement period.

Vesting here means only that a tranche has become exercisable. It does not mean that shares have been issued, that the Holder has become a stockholder, or that the Holder has acquired any interest in the Company's shares. An unvested tranche confers no right of any kind, and the Holder may not exercise, transfer, pledge or deal with an unvested tranche.

A tranche vests only if its performance condition is certified as satisfied under Item 3 within its measurement period. Vesting is not cumulative across tranches: the satisfaction of one tranche's condition does not vest another, and over-performance against one condition is not carried forward to another tranche's account.

Item 3. Performance Conditions and the Certificate That Evidences Them

Each tranche's performance condition is stated in the performance particulars by reference to deployment activity under the supply agreement. The condition is measured from the records the supply agreement requires the parties to keep, and not from either party's internal forecast, sales pipeline or board reporting.

Within thirty days of the end of a measurement period the Company shall prepare a certificate stating whether the condition for the tranche measured in that period has been satisfied, the data on which the statement rests and the source of that data, and shall deliver it to the Holder. The Holder shall countersign the certificate if it agrees, and shall state its grounds in writing if it does not.

A tranche vests on the date both parties have signed the certificate for it, or on the date a determination under Item 14 establishes that the condition was satisfied. A tranche whose certificate records that the condition was not satisfied does not vest, and the Company shall record the failure against the register entry for this Warrant.

Appendix 1 - The certification cycle for a tranche

Step	Actor	Period	Document	Effect
End of the measurement period	Not applicable	As the particulars state	None	Starts the cycle
Assemble the deployment records	Both, from the supply agreement records	Fifteen days	Joint record extract	Fixes the data
Prepare the performance certificate	Company	Thirty days from period end	Draft certificate	States the conclusion
Deliver the certificate to the Holder	Company	Same period	Delivery receipt	Starts the review
Holder's review	Holder	Fifteen Business Days	Countersignature or grounds	Agrees or disputes
Countersignature by the Holder	Holder	Within the review period	Signed certificate	Tranche vests
Statement of grounds for disagreement	Holder	Within the review period	Written grounds	Refers to Item 14
Company's response to the grounds	Company	Ten Business Days	Written response	May resolve the dispute
Escalation to the named executives	Both	Ten Business Days	Meeting note	May resolve the dispute
Referral to the independent reviewer	Either	Ten Business Days	Referral notice	Binding determination follows
Determination by the reviewer	Independent reviewer	As the engagement provides	Written determination	Tranche vests or does not
Record of the outcome	Company secretary	Five Business Days	Register entry	Fixes the position

Item 4. Measurement Periods and a Missed Measurement

The measurement periods for the tranches are consecutive and do not overlap. A deployment counted in one period is not counted again in another, and the parties shall record in the joint extract for each period the deployments allocated to it so that no deployment can be counted twice.

If a measurement period passes without a certificate being prepared, the Holder may require the Company to prepare one, and the Company shall do so within twenty Business Days of the request. The failure to prepare a certificate on time does not vest a tranche and does not extend the tranche's measurement period.

If a tranche's condition is not satisfied within its measurement period, the tranche does not vest and cannot vest later. The parties considered allowing a missed tranche to be made up in a subsequent period and rejected it, on the Company's view that a warrant granted for deployment at a particular time should not reward the same deployment achieved much later.

Item 5. The Exercise Price and Its Payment

The Exercise Price per share is the amount stated on the face of this Warrant. It applies to every tranche equally and is not differentiated by tranche, by the period in which a tranche vests, or by the Company's value at the time of vesting. It is subject only to the mechanical adjustments in Item 9.

The Holder pays the Exercise Price for the shares as to which it exercises in immediately available funds at the time it delivers its exercise notice. The Company shall not issue shares before the funds are received, and shall not accept a direction to set the price off against an amount owed under the supply agreement.

The Exercise Price was fixed at a level the parties agreed by reference to the Company's capital raising at the time of the grant. The Holder did not negotiate a discount to that level, the economic benefit of this Warrant being intended to arise from the Company's growth that the Holder's own deployment helps to produce.

Exercise terms

Exercise price: $2.10.

Item 6. Exercise Limited to Vested Tranches

The Holder may exercise this Warrant only as to tranches that have vested, and only while it remains exercisable under Item 11. An exercise notice that purports to exercise an unvested tranche is ineffective as to that tranche, and the Company shall return any funds tendered in respect of it within five Business Days.

The Holder may exercise a vested tranche in whole or in part, and may exercise more than one vested tranche in a single notice. The Company shall issue the shares within five Business Days of receiving an effective notice and the funds, and shall deliver a certificate or a statement of a book-entry position as the Holder directs.

On an exercise of part of the Warrant the Company shall issue a replacement instrument recording the tranches that remain, their vesting status and the shares still covered. The replacement carries the same expiry, the same conditions and the same adjustment history as this Warrant.

Item 7. Net Exercise Available Only for Vested Tranches

The Holder may satisfy the Exercise Price for a vested tranche by directing the Company to withhold, from the shares otherwise issuable on that tranche, shares having a value equal to the Exercise Price for the tranche, determined as the valuation particulars provide. The Holder then receives the balance and pays nothing.

A net exercise is available only for a vested tranche. It is not available for an unvested tranche in any circumstances, including immediately before an expiry or a transaction described in Item 10, and there is no automatic exercise of any tranche at any time under this Warrant.

The Company shall check the Holder's net exercise arithmetic before issuing shares and shall notify the Holder of any correction. If the parties do not agree the arithmetic within five Business Days, the exercise is held and the question is referred under Item 14, and the Holder may instead pay the Exercise Price in cash and preserve its position.

Item 8. Forfeiture on Termination of the Supply Agreement

If the supply agreement terminates, every tranche that has not vested by the date of termination is forfeited and cannot vest afterwards, whatever the reason for the termination and whichever party terminated. The Company shall record the forfeiture against the register entry within five Business Days of the termination.

A tranche that has vested before the termination is not forfeited. It remains exercisable until the expiry date, and the Holder's right to exercise it is not affected by any claim either party may have against the other under the supply agreement. The Company may not set off such a claim against the shares issuable on a vested tranche.

If the supply agreement is terminated and later reinstated, a tranche forfeited on the termination is not revived. The parties may agree a new instrument if they wish, but this Warrant does not provide for reinstatement and the Company shall not treat a reinstated agreement as reviving a forfeited tranche.

Appendix 2 - What happens to each tranche on each event

Event	Tranche already vested	Tranche in its measurement period	Tranche not yet in its period	Record made by
Condition certified as satisfied	Unaffected	Vests	Unaffected	Company secretary
Condition certified as not satisfied	Unaffected	Does not vest and cannot vest later	Unaffected	Company secretary
Measurement period ends without a certificate	Unaffected	Company must certify on request	Unaffected	Company secretary
Termination of the supply agreement	Remains exercisable to expiry	Forfeited	Forfeited	Company secretary
Reinstatement of the supply agreement	Unaffected	Not revived	Not revived	Company counsel
Change of control of the Company	Exercisable before the closing	Forfeited at the closing	Forfeited at the closing	Company counsel
Change of control of the Holder	Unaffected	Continues if the agreement continues	Continues if the agreement continues	Company counsel
Expiry date reached	Lapses if unexercised	Lapses	Lapses	Company secretary
Dispute referred under Item 14	Unaffected	Held pending determination	Unaffected	Company counsel
Determination in the Holder's favour	Unaffected	Vests as at the certificate date	Unaffected	Company secretary

Event	Tranche already vested	Tranche in its measurement period	Tranche not yet in its period	Record made by
Determination against the Holder	Unaffected	Does not vest	Unaffected	Company secretary
Share split or combination	Adjusted under Item 9	Adjusted under Item 9	Adjusted under Item 9	Chief Financial Officer

Item 9. Adjustments to the Shares Covered and to the Exercise Price

If the Company splits, combines or reclassifies its common stock, or pays a dividend in shares of common stock, the shares covered by each tranche and the Exercise Price are adjusted proportionately, so that the aggregate price payable on the exercise of that tranche in full does not change. An adjustment applies equally to vested and unvested tranches.

An adjustment does not alter a performance condition. The conditions are expressed by reference to deployment activity and not to share counts, so a change in the Company's share capital has no effect on whether a condition is satisfied. The Company shall not propose an adjustment to a condition on the ground that its share capital has changed.

The Company shall notify the Holder of an adjustment within ten Business Days, identifying the event, the adjusted figures for each tranche and the arithmetic. The adjustment takes effect with the event whether or not the notice is given, and the Company shall record the adjusted figures in the register so that each tranche can be read without recomputing the history.

Share coverage

Shares subject to warrant: 150,000.

Item 10. Change of Control: Vested Tranches Only

The Company shall notify the Holder at least twenty Business Days before the closing of a merger, consolidation, sale of substantially all assets or share sale that would result in a change of control of the Company, and shall state the consideration expected for each share of common stock.

The Holder may exercise any vested tranche before that closing, in cash or by net exercise, and may make the exercise conditional on the closing. A tranche that has not vested by the closing is forfeited at the closing, whether or not its measurement period has ended, and there is no acceleration of unvested tranches on a change of control.

The parties adopted that position because the performance for which the unvested tranches were granted would be delivered, if at all, to a company under different ownership, and neither party wished the acquirer to be obliged to issue shares for deployment it had not agreed to buy. The Holder accepted it when the Warrant was negotiated.

Item 11. Expiry and the Final Measurement Date

This Warrant expires at the time stated on its face. No tranche is exercisable after expiry, whether or not it has vested and whether or not the Holder has received the notices this Warrant requires. There is no extension of the expiry by reference to the supply agreement or to a pending certification.

The final measurement period ends before the expiry date by the interval stated in the performance particulars, so that a certificate for the last tranche can be prepared and reviewed and the tranche exercised before expiry. If a dispute over the last tranche is still pending at expiry, the expiry is postponed as to that tranche alone until ten Business Days after the determination.

The Company shall notify the Holder twenty Business Days before expiry, listing each tranche, its vesting status and the shares then purchasable under it. A failure to give that notice postpones the expiry, as against the Holder, by the number of days by which the notice was late.

Item 12. No Assignment and No Rights as a Stockholder

The Holder may not assign, transfer, pledge or encumber this Warrant or any tranche of it, whether vested or unvested, and whether to an affiliate or to any other person. The Warrant was granted for the Holder's own performance and the Company was not prepared for the right to pass to a person whose deployment it had not contracted for.

The Warrant passes to a successor of the Holder that acquires substantially all of the Holder's distribution business and assumes the supply agreement, on notice to the Company and on the successor giving the representations in Item 13. That is the only circumstance in which the Warrant may be held by a person other than the original Holder.

Until shares are issued on the exercise of a vested tranche, the Holder has no right to vote, no right to a dividend, no right to notice of a stockholders' meeting and no right to inspect the Company's books as a stockholder. The Warrant confers a right to purchase and nothing else.

Item 13. Representations of the Holder and the Legend

The Holder represents on the grant, and on each exercise, that it is an accredited investor (17 C.F.R. § 230.501), that it takes this Warrant and any shares issued under it for its own account and not with a view to distribution, and that it understands the Warrant may produce nothing if the performance conditions are not satisfied.

This Warrant and any shares issued under it are restricted securities whose resale is limited (17 C.F.R. § 230.144). The Company shall apply its restrictive legend to a certificate or notation for shares issued under this Warrant and shall note on it the agreements to which the Holder has adhered.

The Holder acknowledges that the grant of this Warrant is consideration for performance under a commercial agreement, that the Company has made no representation about the value of the Warrant or of the shares, and that the Holder is responsible for its own accounting and tax treatment of the grant and of any exercise.

Item 14. Resolving a Dispute About a Performance Certificate

If the Holder states grounds for disagreeing with a performance certificate and the parties do not resolve the disagreement in correspondence, each shall nominate a senior executive who has not been involved in preparing or reviewing the certificate, and those executives shall meet within ten Business Days and attempt to resolve it.

If they do not resolve it, either party may refer the question to an independent reviewer with experience of warehouse automation deployments, agreed between the parties or, failing agreement within ten Business Days, appointed by the president of the professional body the performance particulars identify. The reviewer determines only whether the condition was satisfied on the data in the joint extract.

The reviewer's determination binds both parties. The Company shall record it, and shall treat a tranche determined to have satisfied its condition as having vested on the date the certificate for it was delivered. The parties share the reviewer's fees equally and each bears its own costs.

Adjustment and notices

Adjustments and notices are administered under the complete warrant instrument.

Item 15. Notices, Variation, Governing Law and the Attached Materials

A notice under this Warrant is given in writing to the address in its notice particulars, and a notice relating to a certificate is copied to the individuals the performance particulars name for that purpose. Notices take effect on delivery, or on written confirmation of receipt where given by electronic mail.

This Warrant is varied only by a document signed by both parties that states that it varies the Warrant, and a variation of the supply agreement does not vary it even where the variation changes the deployment programme by reference to which a condition is expressed. Where such a change occurs, either party may propose a corresponding variation and neither is obliged to agree to one.

The law of the State of Delaware governs this Warrant. It is severable, may be executed in counterparts, and includes its performance particulars, its valuation particulars, its notice particulars and the form of exercise notice attached to it. The Company shall keep all of them, with the certificates prepared under Item 3, in one file.

Appendix 3 - Documents that make up this Warrant and where each is held

Document	What it contains	Signed by	Held by	Copy to the Holder
The face of the Warrant	Aggregate shares covered and the Exercise Price	Company	Company secretary	At the grant
Performance particulars	The tranches, their	Both parties	Company secretary	At the grant

Document	What it contains	Signed by	Held by	Copy to the Holder
	conditions and their measurement periods			
Valuation particulars	How value is determined for a net exercise	Both parties	Company secretary	At the grant
Notice particulars	Addresses and the individuals to be copied	Both parties	Company secretary	At the grant
Form of exercise notice	The fields to be completed on an exercise	Not signed until used	Company secretary	At the grant
Joint record extract for each period	The deployment data allocated to that period	Both parties	Both parties	At each period end
Performance certificate for each tranche	Whether the condition was satisfied and on what data	Both parties if agreed	Company secretary	At each certification
Statements of grounds for disagreement	The Holder's reasons for not countersigning	Holder	Company counsel	Already held
Referral notices and determinations	The outcome of a referred dispute	Reviewer	Company counsel	On determination
Adjustment statements	The adjusted figures for each tranche	Company officer	Chief Financial Officer	Within ten Business Days
Forfeiture records	The tranches forfeited and the event causing it	Company secretary	Company secretary	On forfeiture
Register entry for this Warrant	The current status of every tranche	Not signed	Company secretary	On request

Item 16. Reserved Shares and What the Company Must Do Before Each Certification

The Company shall keep authorised and reserved, throughout the life of this Warrant, a number of shares sufficient to satisfy the exercise of every tranche, vested and unvested. It shall not reduce that reservation when a tranche is forfeited until the forfeiture has been recorded and the Holder notified, so that the register and the reservation cannot disagree.

Before each certification the Company shall confirm to the Holder that the reservation remains sufficient, shall identify any corporate action it has taken to maintain it, and shall state whether any event has occurred that would give rise to an adjustment under Item 9. That confirmation accompanies the performance certificate and is not a separate notice.

If the reservation becomes insufficient, the Company shall take the corporate action needed to restore it within twenty Business Days and shall notify the Holder when it has done so. A shortfall in the reservation does not affect the vesting of a tranche, which depends on the performance condition alone.

Item 17. Confidentiality of the Deployment Data and the Certificates

The deployment data assembled for a measurement period, the certificates prepared from it and any determination made under Item 14 are confidential to the parties. Neither party shall disclose them except to its professional advisers, to its auditors, and to a person to whom disclosure is required by law or by a listing authority.

The Company may disclose the existence of this Warrant, the aggregate shares it covers and the number of tranches vested, in its capitalisation records and to a prospective investor under a confidentiality undertaking. It shall not disclose the deployment data itself, the identity of the Holder's sites, or the volumes deployed at any site.

The Holder may disclose the existence of this Warrant and the tranches vested to its own board and to its auditors. It shall not disclose the Company's pricing, its specifications or any information it receives in the certification process to a supplier of equipment that competes with the Company's.

Appendix 4 - Who may see the performance material and on what basis

Material	Company may disclose to	Holder may disclose to	Basis required	Recorded by
Existence of this Warrant	Prospective investors and advisers	Its board and auditors	Confidentiality undertaking	Company secretary
Aggregate shares covered	Prospective investors and advisers	Its board and auditors	Confidentiality undertaking	Company secretary
Number of tranches vested	Prospective investors and advisers	Its board and auditors	Confidentiality undertaking	Company secretary
Text of the performance conditions	Its own counsel and auditors	Its own counsel and auditors	Professional duty	Company counsel
Joint deployment record	Its own counsel and	Its own counsel and	Professional duty	Company counsel

Material	Company may disclose to	Holder may disclose to	Basis required	Recorded by
extract	auditors	auditors		
Site-level deployment volumes	No one without the Holder's consent	As it chooses for its own sites	Written consent	Company counsel
Performance certificates	Its own counsel and auditors	Its own counsel and auditors	Professional duty	Company secretary
Statements of grounds for disagreement	Its own counsel	Its own counsel	Professional duty	Company counsel
Determinations under Item 14	Its own counsel and auditors	Its own counsel and auditors	Professional duty	Company counsel
The Company's pricing under the supply agreement	As that agreement permits	No one	That agreement	Chief Operating Officer
Adjustment statements	Prospective investors and advisers	Its board and auditors	Confidentiality undertaking	Chief Financial Officer
Forfeiture records	Prospective investors and advisers	Its board and auditors	Confidentiality undertaking	Company secretary

Item 18. Effect of a Change in the Deployment Programme

If the parties change the deployment programme under the supply agreement in a way that makes a performance condition impossible to satisfy as expressed, neither party is obliged to agree a variation of this Warrant, and the condition stands as expressed until they do agree one.

Either party may propose a variation that preserves the substance of the condition, and the parties shall discuss the proposal in good faith. A failure to reach agreement is not a breach of this Warrant and is not a matter that may be referred under Item 14, which deals only with whether a condition as expressed has been satisfied.

The Company shall record any proposal made under this Item and its outcome, so that a later reader can see why a tranche did not vest where the deployment programme changed and the condition was not varied.